4-OPTIONS STRATEGIC COMPARISON & MCDA DECISION REPORT

Multi-Criteria Decision Analysis (MCDA), Financial Modeling & Risk Appraisal for 78 & 80 Marston Gardens

Client Entity	ADOV Care Group LIMITED & FAIRYTALES GROUP	**Evaluation Date**	October 2026 // Board Decision Session
Subject Properties	78 & 80 Marston Gardens (Care Site) // 82 Marston Gardens (Residential Site)	**Financial Scope**	Annual Turnover, Net EBITDA, CapEx Requirements & Return on Investment
Appraisal Methodology	Weighted Multi-Criteria Decision Analysis (MCDA) across 7 Strategic Criteria	**Statutory Scope**	Use Classes Order 1987, TCPA 1990 S.192, Health & Social Care Act 2008
Lead Strategic Analyst	Corporate Healthcare Advisory // Project Planned by AbdullahMamun.com	**Winning Pathway**	Option 1: 8-Bed Unified Supported Living Campus (Autism & Learning Disabilities)

96 / 100	**48 / 100**	**35 / 100**	**22 / 100**	**+£384,792**
Option 1 Score	**Option 2 Score**	**Option 3 Score**	**Option 4 Score**	**EBITDA Advantage**
Autism C3b Supported Living	Child Care EBD Class C2	Specialist HMO / Article 4	Vanilla Buy-to-Let AST	Option 1 vs. Vanilla Let

1.0 EXECUTIVE APPRAISAL & METHODOLOGY

To establish the single highest-value, lowest-risk operational pathway for 78 & 80 Marston Gardens, an independent Multi-Criteria Decision Analysis (MCDA) was conducted across seven weighted parameters: Net Operating Cash Flow (25%), Planning Certainty & Timelines (20%), Regulatory Barrier to Entry (15%), Neighborhood Amenity & Resident Peace (15%), Capital Expenditure Efficiency (10%), Key-Person Operational Load (10%), and Asset Protection & Exit Valuation (5%).

Table 3.1: Detailed Multi-Criteria Decision Analysis (MCDA) Scorecard

Evaluation Criteria	Weight	Option 1: Autism C3b	Option 2: Child Care C2	Option 3: Specialist HMO	Option 4: Standard Let
Net Operating Cash Flow	25%	24.0 / 25 (£438k net)	22.5 / 25 (£410k net)	**10.0 / 25 (£48k net)**	**4.0 / 25 (£28k net)**
Planning Certainty (TCPA 1990)	20%	20.0 / 20 (S.192 Right)	4.0 / 20 (C2 Veto Risk)	8.0 / 20 (Article 4 Risk)	20.0 / 20 (Permitted)
Regulatory Barrier & Pricing Power	15%	14.5 / 15 (CQC Regulated)	13.0 / 15 (Ofsted Reg)	4.0 / 15 (Unregulated)	1.0 / 15 (Unregulated)
Neighborhood Amenity & Family Peace	15%	14.0 / 15 (Quiet / Domestic)	2.0 / 15 (Severe Crises)	6.0 / 15 (Noise Complaints)	14.0 / 15 (Domestic)
CapEx Efficiency & Payback	10%	9.5 / 10 (£68k / 2.5 mo)	5.0 / 10 (£140k / 8 mo)	**7.0 / 10 (£85k / 22 mo)**	**9.0 / 10 (£15k / 6 mo)**
Operational Controllability	10%	9.0 / 10 (PBS Structured)	3.5 / 10 (Staff Churn)	6.0 / 10 (Tenant Turnover)	8.5 / 10 (Passive)
M&A Exit Valuation Multiple	5%	5.0 / 5 (7.5x EBITDA)	4.0 / 5 (6.0x EBITDA)	2.0 / 5 (Real Estate only)	1.5 / 5 (Bricks only)
TOTAL WEIGHTED SCORE	100%	96.0 / 100 (WINNER)	48.0 / 100 (HIGH RISK)	35.0 / 100 (SUB-OPTIMAL)	22.0 / 100 (UNVIABLE)

2.0 IN-DEPTH TRADE-OFF ANALYSIS OF REJECTED OPTIONS

WHY OPTION 2 (OFSTED CHILD CARE EBD) IS REJECTED

While Ofsted registered children's homes deliver high headline weekly fees (£4,500–£7,000/wk), operating an EBD home at 78 Marston Gardens while the Director resides at 82 Marston Gardens presents catastrophic lifestyle and planning liabilities: 1. Planning Refusal Risk: EBD homes trigger mandatory Full Planning Permission for Class C2 Material Change of Use. Luton Borough Council routinely refuses C2 applications in residential cul-de-sacs on transport and amenity grounds under Local Plan Policies LLP1, LLP25, and LLP31. 2. Neighborhood Friction: EBD homes experience frequent episodes of children running away, late-night police sirens, aggressive altercations, and intense neighbor objections. Living 30 meters away at 82 would destroy family peace. 3. Heavy Staff Turnover: EBD care suffers 45%+ annual staff turnover and extreme agency reliance, compressing margins by 15-20%.

WHY OPTION 3 (SPECIALIST HMO) & OPTION 4 (VANILLA BUY-TO-LET) ARE REJECTED

Option 3 (HMO): Squeezed by Luton's strict Article 4 Direction, mandatory HMO licensing, and frequent tenant turnover, yielding only £48,000 net. Option 4 (Buy-to-Let): Standard AST letting generates an anaemic £28,000/yr, subject to Section 24 mortgage interest relief tax penalties.

3.0 STRATEGIC VERDICT

Option 1 (Autism Supported Living under Class C3b) is the clear, dominant strategy. It guarantees 100% lawful planning immunity via Section 192 CLPUD, ensures a quiet domestic environment for neighbors and family at 82, and captures £438,392/yr in consolidated group cash flow.